# EXECUTIVE SUMMARY

## 1. Introduction

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

The audit covered the accounts and operations of the Municipality of Claveria for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

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## 2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P254,669,673.14, P59,900,603.04, P194,769,070.10, with an increase of 14.96%, 4.37% and 18.67%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P125,461,059.09 and P94,274,789.44, which increase by 8.71% and 4.81% respectively from last year's figures.

| Particulars | 2018 | 2017 | Increase(Decrease) | % |
|---|---|---|---|---|
| **Financial Position** | | | | |
| Assets | 254,669,673.14 | 221,520,964.36 | 33,148,708.78 | 14.96 |
| Liabilities | 59,900,603.04 | 57,392,164.80 | 2,508,438.24 | 4.37 |
| Government Equity | 194,769,070.10 | 164,128,799.56 | 30,640,270.54 | 18.67 |
| **Financial Performance** | | | | |
| Income | 125,461,059.09 | 115,409,359.44 | 10,051,699.65 | 8.71 |
| Expense | 94,274,789.44 | 89,949,370.80 | 4,325,418.64 | 4.81 |
| **Appropriations, Allotments and Obligation** | | | | |
| Appropriations | 127,768,935.00 | 202,098,358.50 | (74,329,423.50) | 36.78 |
| Allotments | 127,768,935.00 | 202,098,358.50 | (74,329,423.50) | 36.78 |
| Obligations | 97,974,266.44 | 155,451,137.71 | (57,476,871.27) | 36.97 |

## 3. Independent Auditor's Report on the Financial Statements

We rendered a Modified Opinion on the fairness of the financial statements since the correctness and validity of the Property, Plant and Equipment account

valued at P93,988,770.77 (net of depreciation) could not ascertained due to the non-recognition of at least 75% of Local Road and Road Network System in the books of the Municipality. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

## 4. Summary of Significant Audit Observations and Recommendations

1. Investment property representing Markets account totaling to P1,200,000.00 has not been reclassified in the books of accounts to conform with the provisions of International Public Sector Accounting Standards (IPSAS) 16, (Investment Property) resulting in understatement of the Investment Property, Building account and overstatement of Markets account.

   We recommended that management, thru the Accounting Office, reclassify the Markets account to Investment Property, Building account to conform with IPSAS 16-Investment Property for fair presentation of the financial statements.

2. Some programs, projects and activities under the 20% Development Fund (DF) amounting to P14,904,041.37 or 57.54% of the total Development Fund were not fully implemented during the year, hence deprived the intended beneficiaries of the socio – economic benefits that could have been derived thereat.

   We recommended that Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund to optimize utilization thereof and fully deliver on time benefits to the community.

   Likewise, the concerned department was advised to monitor regularly the implementation of the 20% Development Plan and closely coordinate with other departments to fully achieve the desired goals and benefits as planned.

3. Implementation of programs, projects and activities for Disaster Prevention, Preparedness and Rehabilitation funded from current appropriations and cumulative unexpended balances of Municipal Disaster Risk Reduction and Management (MDRRM) Fund with utilization performance of 16.03% as of December 31, 2018 was slow in addressing risks and effects of disasters in the Municipality.

   We recommended that Management, in coordination with the MDRRM Council, formulate a Comprehensive and Integrated MDRRM Plan. The MDRRM Office was advised to closely monitor the MDRRM Plan to ensure that programs and/or activities were timely implemented in addressing projected climate risks and enhancing disaster preparedness capabilities at LGU level.

## 5. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| Suspensions | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| Total | - | - | - | - | |
| Disallowances | | | | | |
| Prior Years | 534,439.25 | - | 110,878.79 | 423,560.46 | 20.75% |
| Current Year | - | - | - | - | |
| Total | 534,439.25 | - | 110,878.79 | 423,560.46 | 20.75% |
| Charges | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| Total | - | - | - | - | |

## 6. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirteen (13) audit recommendations in the prior years' report, eight (8) were fully implemented and five (5) were not implemented as at year ended.